

development team was incredibly productive because the company's founders had identified a large unmet need in the target market. The initial product, while flawed, was popular with early adopters. Adding the major features that customers asked for seemed to work wonders, as the early adopters spread the word about the innovation far and wide. But unasked and unanswered were other lurking questions: Did the company have a working engine of growth? Was this early success related to the daily work of the product development team? In most cases, the answer was no; success was driven by decisions the team had made in the past. None of its current initiatives were having any impact. But this was obscured because the company's gross metrics were all "up and to the right."

As we'll see in a moment, this is a common danger. Companies of any size that have a working engine of growth can come to rely on the wrong kind of metrics to guide their actions. This is what tempts managers to resort to the usual bag of success theater tricks: last-minute ad buys, channel stuffing, and whiz-bang demos, in a desperate attempt to make the gross numbers look better. Energy invested in success theater is energy that could have been used to help build a sustainable business. I call the traditional numbers used to judge startups "vanity metrics," and innovation accounting requires us to avoid the temptation to use them.

VANITY METRICS: A WORD OF CAUTION

To see the danger of vanity metrics clearly, let's return once more to the early days of IMVU. Take a look at the following graph, which is from the same era in IMVU's history as that shown earlier in this chapter. It covers the same time period as the cohort-style graph on [this page](#); in fact, it is from the same board presentation.

This graph shows the traditional gross metrics for IMVU so far: total registered users and total paying customers (the gross revenue graph looks almost the same). From this viewpoint, things look much more exciting. That's why I call these vanity metrics: they give